



Strathmore
UNIVERSITY

STRATHMORE BUSINESS SCHOOL
MASTERS OF BUSINESS ADMINISTRATION
END OF SEMESTER EXAMINATION
MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

DATE: Thursday, 4th August 2016

Time: 3 Hours

Instructions

Answer Question **ONE** and **ANY OTHER TWO** questions.

Question 1 (50 Marks)

Read the attached case: **Financial Reporting Problems at Molex, Inc. (A) HBS 9-105-082 (Rev. July 29, 2009)** and answer the following questions:

- a) Explain briefly why Molex had to hire an external auditor? **(5 Marks)**
- b) What was the financial reporting problem at Molex? How would the correction of the problem be recorded in Molex's financial statements? **(15 Marks)**
- c) What factors do you think influenced management's decision not to raise the issue with the external auditors? **(15 Marks)**
- d) Why were Molex's auditors so concerned about the reporting problem at Molex? If you were a member of the board, would you agree with their concerns? **(10 Marks)**
- e) As a member of Molex's board, what would you do to respond to the auditor's request that the CFE (and possibly the CEO) be replaced? **(5 Marks)**

Question 2 (25 Marks)

You are provided with the following information regarding a young company, Ally Motors Limited:

Ally Motors Ltd.

Statement of Profit or Loss for the year ended 31 December 2015

	Ksh. 'million	Ksh. 'million
Revenue		540
Cost of Sales		
Opening Inventory	90	

Purchases	450	
	540	
Closing Inventory	(150)	(390)
Gross Profit		150
Administration expenses	30	
Distribution costs	20	
Finance Cost	10	(60)
Profit Before tax		90
Income tax expense (fully paid)		(20)
Profit after tax/for the year		70

Ally Motors Ltd.

Statement of Financial Position as at 31 December 2015

	Ksh. 'million	Ksh. 'million
Non-Current assets		
Land and Buildings		200
Office furniture & Equipment		30
Motor Vehicles		28
		258
Current Assets		
Inventory	150	
Trade and other receivables	48	
Cash	3	201
Total Assets		459
Ordinary Share capital		200
Share Premium		30
Retained Profits		90
Share holders' funds		320
Current Liabilities		
Trade and other payables	38	
Bank Overdraft	101	139
Total Capital and Liabilities		459

The accountant intends to prepare a financial forecast for 2016 for the following year and has gathered the following information:

1. Over the past few years, the company had been increasing its sales target by one third. On average, the customers, most of whom are on credit get one month grace period to pay. The sales are on average the same every month. This trend is anticipated in the following year.
2. On average, the company has been increasing purchases to march the pace of sales but due to some inventory, purchases have grown at lower rate, say by about 25% annually. All the purchases are on credit and are on average the same every month. The suppliers give the company about one and a half months to pay. This is not expected to change, unless there is high exchange rate volatility.

3. Both administration and selling and distribution costs will increase by about 20%. Finance costs have increased by 10%. Tax will be increased by 15%. These past trends could be used as a fair prediction of next year's figures. The administration, selling and distribution costs will include depreciation of Ksh. 5 million for buildings, Ksh. 5 million for office furniture and equipment Ksh.8 million for motor vehicles.
4. Cash balances have been rising by about Ksh. 1 million, though the company avoids having this cash in the business. But due to the increase in expenses,, the cash is needed.
5. The average gross profit margin for the company is around 30%
6. The company intends to distribute about Ksh. 50 million in dividends.

Required: (i) Prepare forecast financial statements for the year 2016, (ii) Comment briefly on the forecast financial statements with regard to the forecast profitability and forecast liquidity position. (iii) If the company approached you for the forecast overdraft financing, would you advance the facility?

Question 3(25 Marks)

- a) Mbao Furnitures Ltd. are engaged in the manufacture of high quality furniture. When the company is operating above capacity, it often outsources labour from a sister company, Mjenzi Ltd. There are cases where machines required to manufacture furniture are stretched and Mbao Ltd seeks extra machine capacity from Mjenzi.

Required: Briefly describe what the following cost categories and provide two examples of costs that may be incurred in the case of Mbao Ltd.

- i. Period cost (2 Marks)
- ii. Product cost (2 Marks)
- iii. Controllable cost (2 Marks)
- iv. Fixed cost (2 Marks)
- v. Variable cost (2 Marks)

- b) ABC Ltd. Is a manufacturing company that makes only three products P, Q, and R. Data for the period ended last month are as follows:

	P	Q	R
Units produced and sold	12,000	16,000	8,000
	Sh.	Sh.	Sh.
Sales price per unit	50	70	60
Direct material cost per unit	16	24	20
Direct labour cost per unit	8	12	8
Production overheads costs	Total	Cost drivers	
	Sh.		
Machining costs	102,000	Machine hours	
Production scheduling	84,000	Number of production runs	

Set-up costs	54,000	Number of production runs
Quality control	49,200	Number of production runs
Receiving materials	64,800	Number of components receipts
Packing materials	<u>36,000</u>	Number of customer orders
	<u>390,000</u>	

Information on the cost drivers is given as follows:

	P	Q	R
Direct labour hours per unit	1	1½	1
Machine hours per unit	½	1	1½
Number of components per unit	3	5	8
Number of component receipts	18	80	64
Number of customer orders	6	20	10
Number of production runs	6	16	8

Required:

Using activity based costing (ABC) show the cost and gross profit per unit for each product during the period. **(20 Marks)**

Question 4(25 Marks)

Financial results and conditions vary among companies for a number of reasons. One reason for the variation can be traced to the characteristics of the industries in which companies operate in. for example, some industries require large investments in property, plant and equipment, while other require very little. Other industries generally report higher gross margins, while other, for instance, food chains, report lower margins. In some industries, the investment in research and development (R&D) is key while in other, R&D does not matter. The financial statements provided in Cases A to E relate to companies in five industries as follows:

1. Agriculture
2. Commercial banking
3. Insurance
4. Manufacturing
5. Telecommunications

Selected financial information for the year 2016 for five companies listed on the Nairobi Securities Exchange (NSE)

Figures in Kshs. 'million	Case A	Case B	Case C	Case D	Case E
Revenue	195,685	8,261	42	64,420	12,487
Profit before interest and tax	83,066	5,380	5	14,151	3,297
Profit after tax	38,104	3,766	4	9,574	2,727
Assets					
Cash	6,109	8,372	7	600	225
Accounts receivables	20,623	195,503	122	9,341	2,037
Inventory	816	-	0.2	790	29
Other current assets	2,392	11,746	1	557	-
Total current assets	29,940	N/A	130	11,228	NA

Figures in Kshs. 'million	Case A	Case B	Case C	Case D	Case E
Property, plant and equipment	129,242	8,175	212	623	93
Goodwill	-	-	-	-	-
Intangibles	-	2,810	1	168	93
Total assets	159,182	300,888	342	54,164	26,243
Liabilities					
Accounts payables	40,069	224,626	16	6,045	299
Short term debt	2,374	-	-	3,715	-
Long term debt	-	25,349	-	24,470	-
Other	-	1,613	71	4,185	8,529
Equity					
Share capital	4,203	30,000	24	1,582	1,750
Reserves	112,536	14,245	226	14,167	15,664
Total liabilities & equity	159,182	300,888	325	54,164	26,243
Return on sales	42%	42%	42%	42%	42%
Asset turnover	1.23	0.03	0.12	1.19	0.48
Return on assets	24%	1%	1%	18%	10%
Financial leverage	1.36	6.80	1.37	3.44	1.51
Return on equity	33%	9%	2%	61%	16%
Current ratio	0.71	N/A	8.13	1.15	NA
Receivables collection (days)	38	8,638	1,060	53	60
Inventory turnover (days)	2	N/A	2	4	1
Gross margin	42%	65%	12%	22%	26%
Dividend payout	0%	1%	2%	0%	1%
Revenue growth	13%	15%	2%	4%	10%
Research & development ratio	2%	5%	1%	5%	3%
CFFO (millions)	64,612	5,023	7	14,526	2,774

Note: CFFO – Cash flow from operating activities

Required: Illustrate, with supporting justification, which of the five companies relate to each of the five cases (A to E).

Question 5 (25 Marks)

a) Describe the following types of budgets:

- i. Operating budget **(3 Marks)**
- ii. Capital budget **(3 Marks)**
- iii. Cash flow budget **(3 Marks)**

b) Respond to the following scenarios:

- i. You are reviewing your company's financial performance for the first six months of the year and are unsatisfied with the results. How can you disaggregate return on assets to identify areas for improvement? **(5 Marks)**
- ii. There is often friction between investors' need for information and a company's desire to safeguard competitive advantages. Assume that you are a key-product manager at your company. Your department has test-marketed a potentially lucrative new product,

which it plans to further finance. You are asked for advice on the extent of information to disclose about the new product in the management discussion and analysis (MD&A) section of the company's upcoming annual report. What advice do you provide and why? **(5 Marks)**

- iii. Young Electronics Company (YEC) developed a high-speed, low cost copying machine. Bulk copying caused a breakdown in certain components of the copiers. The copiers carried a warranty of two years regardless of the amount of usage. Consequently, the company experienced high cost of replacing the damaged components. Anthony Kakwa, the management accountant of the company has been requested by the board of directors to prepare a report on the situation for the next board meeting.

It is clear that the increased maintenance would significantly affect the company's profitability. Susan Birr, the production manager was concerned about the impact of the report on the board's view of management. Though she agrees with the analysis, she thinks the management would appear in bad-light and the product may be discontinued. She believes that the Engineering Department would address the problem during production to enable bulk copying. Susan Birr proposed to Anthony Kakwa that he deletes the part of the report dealing with component failure and orally inform the board on the plan to redesign the copier. Anthony Kakwa strongly feels that such a revision would mislead the board about a potentially significant negative impact on the company's earnings.

Support the view that Susan Birr's proposal is unethical. **(6 Marks)**